



LIABILITY LIBERATORS
PROFIT INFRASTRUCTURE

A PRACTICAL BUSINESS WORKBOOK

PROFIT LEAK SELF-AUDIT

Find the money hiding in your own numbers.

A guided, hands-on playbook to help you inspect revenue, billing, cash collection, supplier costs and recurring spend - without sharing your books or confidential files with anyone.

YOUR OBJECTIVE

Build a short, evidence-based list of possible profit leaks. Estimate the value, check the evidence, and decide what deserves attention first.

LIABILITY LIBERATORS | FIND THE LEAK. RECOVER THE VALUE.

Use this in one focused hour

This workbook is designed for owners, founders and operators who want a practical first look at where profit may be slipping away. You do not need to send us any documents to use it. Work from records you are already allowed to access.

FIRST, SET YOUR BOUNDARIES

Use totals and summaries where possible. Do not paste customer names, account numbers, passwords, bank credentials, payment card information or confidential contracts into this workbook or a website form. If a deeper review is needed later, define access and safeguards first.

The 45 to 60 minute method

- **10 minutes - Set the period.** Pick the last full month or quarter. Use the same period across comparisons.
- **15 minutes - Scan the five zones.** Look for exceptions, repeated manual fixes, aging balances and differences between agreed and actual amounts.
- **15 minutes - Estimate.** Record a rough value only when you can explain its source. Mark guesses as guesses.
- **10 minutes - Prioritize.** Rank each item by likely value, evidence strength, and effort to fix.
- **5 minutes - Assign ownership.** Give the next action to one person and a date.

What counts as a possible leak?

A possible leak is a measurable gap between an agreed or expected commercial outcome and what actually happened. Examples include work delivered but not billed, invoices overdue without a clear follow-up, a supplier invoice that differs from an agreed rate, or recurring software that no longer has an active business owner.

What does not count?

A round number with no evidence, a theoretical opportunity that cannot be acted on, or a cost that is necessary and delivering value. The goal is not to label every cost or shortfall as waste. It is to find credible, fixable gaps.

The five places to inspect

Use these prompts to guide your review. Not every area will apply to every business. A blank or uncertain answer is a signal to investigate, not proof that money has been lost.

01 REVENUE & COLLECTIONS

- Compare sales or service delivery records with invoices raised. Is anything delivered but not billed?
- Review the aging of unpaid invoices. Are balances overdue without a named owner or next action?
- Check failed payment reports or rejected direct debits. Is there a documented retry and follow-up process?
- Review credit notes, write-offs and refunds. Are repeat causes being tracked?

02 BILLING & PRICING

- Compare a sample of quotes or contracts with the final invoices. Do quantities, rates and terms match?
- Look for discounts, introductory prices or exceptions that continued beyond their approval period.
- Check scope changes, extra work, usage and add-ons. Were approved extras billed correctly?
- Review price lists and renewal dates. Are outdated rates still being used?

03 SUPPLIERS & CONTRACTS

- Compare supplier invoices with agreed prices, service levels, quantities and contract terms.
- Look for duplicate invoices, duplicate subscriptions or repeated charges for the same service.
- Review contract renewal dates, notice windows and minimum commitments before the next renewal.
- Check recurring vendor exceptions. Is the same overcharge or service failure happening again?

04 RECURRING SPEND & OPERATIONS

- List recurring software, services, equipment leases and other commitments with an accountable owner.
- Identify unused licences, overlapping tools or services that no longer support a current workflow.
- Compare waste, rework, overtime, rush fees or downtime with the previous period.
- Do not cut an expense just because it is large. Confirm whether the spend creates value first.

05 CUSTOMER VALUE & RETENTION

- Review customers who have not reordered, renewed or used an expected service recently.
- Check renewal and follow-up lists. Were due conversations or quotes missed?
- Look for legitimate services or add-ons customers already need but are not being offered.
- Separate a realistic and permitted follow-up from speculative revenue that has not been earned.

RULE OF THUMB

Look for a repeated pattern, not just a one-off anomaly. One incorrect invoice may be an error. The same mismatch across dozens of invoices may point to a process that needs fixing.

Quantify the gap, carefully

Estimate the gross opportunity before calling it a saving. Use a time period and a calculation that someone else can reproduce. Keep the source beside every number.

Simple calculation patterns

LEAK TYPE	STARTING CALCULATION	CHECK BEFORE COUNTING IT
Unbilled work	Approved extra units x agreed rate	Was the work authorized, delivered and contractually billable?
Invoice underbilling	(Agreed rate - billed rate) x valid units	Use signed terms and correct quantities.
Overdue receivables	Outstanding balance by aging bucket	Separate likely collectible amounts from disputed or doubtful debts.
Supplier price gap	(Agreed rate - charged rate) x valid quantity	Confirm the contract, delivery and credits.
Unused recurring spend	Cancellable cost over a stated future period	Check dependencies, cancellation fees and actual usage first.
Failed payment	Failed amount with a lawful, permitted recovery route	Do not assume every failed payment can be recovered.

Create your leak register

Record one issue per row. Use a short label rather than confidential customer details. Add supporting references to your own internal system, not to this public website.

POSSIBLE LEAK	SOURCE / PERIOD	EST. VALUE	CONFIDENCE	NEXT ACTION + OWNER

EXAMPLE ONLY

If 12 correctly billable units were charged \$40 below the agreed rate, the initial gap is $12 \times \$40 = \480 . Confirm the contract, quantity, credits, tax treatment and whether collection is still possible before classifying it as recovered value.

Score and prioritize the findings

Use this simple scorecard to decide what to check first. It is a prioritization tool, not an accounting conclusion or a promise of savings.

Score each candidate from 1 to 3

FACTOR	1 LOW	2 MEDIUM	3 HIGH
Potential value	Small compared with normal variance	Worth investigating	Material to margin or cash flow
Evidence strength	A hunch or incomplete sample	Some records support the gap	Clear, repeatable source and calculation
Ease of action	High effort or many dependencies	Several steps required	Clear owner and a simple next action

Prioritization rule

- **Act first:** high evidence, meaningful value, and a clear owner.
- **Investigate next:** meaningful value but incomplete evidence.
- **Park for now:** low value, speculative assumptions, or fixes that cost more than the likely benefit.

DO NOT DOUBLE COUNT

The same issue may appear in an invoice report, a general ledger and a payment report. Count the underlying economic event once. Separate one-time recovery from recurring annualized impact, and label each clearly.

My top three candidates

RANK	ISSUE	VALUE + PERIOD	FIRST ACTION	OWNER / DATE
1				
2				
3				

Before implementation, verify each finding with the appropriate internal owner. Billing adjustments, supplier disputes, cancellations and customer contact should follow your contracts, policies and applicable law.

A practical seven-day plan

This is a lightweight sequence to turn a list of possible leaks into owned actions. It does not require you to upload or send records to Liability Liberators.

DAY 1	Define your baseline Choose one full month or quarter. Record revenue, gross margin, overdue receivables, refunds or credits, major vendor spend and recurring subscriptions.
DAY 2	Check delivery versus billing Pick a small sample of completed sales or jobs. Match approval, delivery, agreed price and invoice. List any missing or mismatched items.
DAY 3	Review cash collection Review aging balances, dispute status, failed payments and the last follow-up date. Assign an owner and next action to each material balance.
DAY 4	Check costs and contracts Compare a sample of supplier invoices against agreed rates. Review renewals, unused licences, overlapping services and repeated rush or rework costs.
DAY 5	Check customer follow-up Review recent quotes, renewals and inactive customers. Identify only realistic, appropriate follow-ups with a clear reason to contact.
DAY 6	Verify and rank Recheck your top candidates. Confirm the evidence and calculations. Remove duplicates, unsupported guesses and fixes that are not worth the effort.
DAY 7	Assign and review Give each priority a named owner, due date and measurable outcome. Set a monthly review so the same leak does not recur.

The finish line

- I have a defined period and a credible baseline.
- Each candidate has a source and a calculation.
- I have removed duplicate and speculative items.
- The top priorities have owners, dates and next actions.
- I have scheduled a repeat review to prevent recurrence.

WANT A SECOND PAIR OF EYES?

Liability Liberators offers a fixed-fee \$2,500 Profit Leak Audit for businesses that want a more structured review. You can use this workbook independently first. An audit is optional and should be considered only when the likely value of the work justifies the fee.